

MICROSOFT COPILOT

Copilot, without the guesswork.

A leadership guide to licensing, cost, and rolling out AI
without overwhelming your team.

Healthcare-forward, general enough for any knowledge-worker org. Current July 2026.

Three things stall every Copilot rollout.



The licensing maze

Chat, Copilot, Premium, Cowork, agents, credits. People buy the wrong thing and lose money and trust.



Fear of exposing data

In a health system, one overshared site plus an eager assistant is a compliance conversation nobody wants.



Tool overwhelm

Drop six new capabilities on a team in a week and adoption dies. The worry is real, and avoidable.

You already believe Copilot can help. This guide removes what stops you from acting on it.

Two tiers, one usage layer. That is the whole model.

TIER 1 - THE FRONT DOOR

Microsoft 365 Copilot Chat

Included with your M365

Web-grounded AI with enterprise data protection. Safe to give broadly. Builds the habit at no added seat cost.

TIER 2 - THE PAID SEAT

Microsoft 365 Copilot

Add-on, ~\$30/user/mo (confirm live)

Grounds on your own data, edits in the Office apps, adds Researcher and Analyst, and zero-rates most agent use.

USAGE LAYER - ON A PAID SEAT

Cowork & agents

Billed by usage in Copilot Credits

Cowork runs multi-step work on its own. Agents run across both tiers. Off until an admin turns them on.

There is no “Copilot Premium” to buy. It is an in-app label for the paid seat. Use two names: Chat (free) and Microsoft 365 Copilot (paid).

Who gets what, by role.

ROLE	RECOMMENDED TIER	COMES WITH THE SEAT	PAYS EXTRA
Director / Exec	Paid seat	Meeting + email synthesis, Researcher, Analyst	Cowork usage
Manager	Paid seat	Recaps, team roll-ups, coordination	Cowork usage
Analyst	Paid seat	Excel + Analyst, data-to-deck	Cowork, Studio, Azure
Knowledge worker	Start free, graduate	Web chat, file upload, approved agents	Paid seat when engaged
Engineer / Dev	GitHub Copilot + seat	Code assist, collab, doc drafting	Studio license, Azure
Frontline (F-plan)	Free Chat if eligible	Web chat on eligible plans	Paid add-on on F1/F3
Security / Compliance	Security Copilot	SOC workflows, governance tooling	Per product terms

 **START HERE**

Governance is step zero, not step eight.

Decide who owns AI, what good use looks like, and where the guardrails are before you buy a single seat. Skip it and you are cleaning up in production, which in a health system means a disclosure you then have to assess and may have to report.

THE PEOPLE SIDE

Sets direction and owns the decisions. Committee, sponsorship, culture, champions.

THE PLATFORM SIDE

The toolkit that makes those decisions real. SharePoint Advanced Management, Purview, the Agent Registry.

You need both.

One without the other is either a policy nobody enforces or a pile of controls nobody aimed.

Govern before you deploy.

Stand up an AI governance committee

One group owns the AI decisions instead of scattering them across IT tickets. Seats: an exec sponsor, IT and security, compliance, a clinical or business voice, HR. It owns acceptable use, data boundaries, licensing, and agent approval.

Put AI in your mission and strategy

If leadership treats Copilot as a tool IT bought, it stalls. Frame it as how the organization works now. Tie it to outcomes leaders already care about: clinician time back, lower cost, better care.

Drive culture from the top

Change management is a leadership job, not a training deck. Executives set the tone by using it themselves and naming the behavior they want. Top-down permission turns “we have licenses” into “this is how we work.”

Build a champion network

Your bottom-up engine, paired with top-down sponsorship. A few enthusiastic peers per department, modeling real use, move adoption further than any mandate. The Success Kit and Copilot Academy arm them.

The sequence that works: sponsorship and the committee first, champions carry the last mile. In that order.

The controls that make it real.

SharePoint Advanced Management comes with your paid seats. The Purview pieces depend on your data-governance licensing (often E5 or a Purview add-on), so check what you hold.

Microsoft 365 admin center

The control plane. Manage who gets Copilot and Chat, control public web access, and manage agents from one place.

SharePoint Advanced Management

Included with the paid seat, and the one people miss. Data Access Governance reports find overshared sites; Restricted Content Discovery cuts accidental tenant-wide discovery while you clean up permissions.

Microsoft Purview

Your data governance layer: sensitivity labels Copilot honors, DSPM for AI, plus audit, eDiscovery, and insider-risk coverage across prompts and responses.

Agent Registry + Agent 365

One inventory across your agent platforms, with the power to observe, approve, block, and secure. Run it with the AI Administrator role, not Global Admin.

Timeline: committee before you buy seats · oversharing + labels before you turn Copilot on · Agent Registry before you scale agents.

The executive approach.

Your job as sponsor is not to pick features. It is to fund the right populations, set the guardrails, and protect the rollout from turning into noise. Five moves.

1

Fund the front door for everyone

Give free Copilot Chat to every eligible employee. It builds the AI habit with no budget fight.

2

Buy paid seats where the work is heavy

Meetings, email, and spreadsheets pay back fastest. Leaders, managers, analysts first. A focused cohort wins.

3

Treat Cowork and agents as a metered budget

Consumption lines, not headcount. Turn them on where needed and set tenant, group, and per-agent caps.

4

Measure, then expand

The Copilot Dashboard surfaces who is ready for a seat. Let the data pull the next wave, not requests.

5

Do not overwhelm your people

Start with one or two habits that solve a real daily annoyance. Let people win before you add the next thing.

THE SOUND BITE FOR YOUR LEADERSHIP TEAM

“Free Copilot for everyone, paid seats for the roles that live in meetings and spreadsheets, and agents turned on with a spending cap.

We expand based on what the data shows, not what people ask for.”

The IT deployment playbook.

Microsoft's guidance in five steps, with the mechanics that matter, including how you actually assign the licenses.

1

Get the org ready, governance first

Stand up the committee, then run the Optimization Assessment and fix oversharing. Turn on MFA, audit, and labels.

2

Choose the license per population

Use the role matrix. Free Chat for everyone eligible, paid seats for the high-ROI roles. Write it down as named groups.

3

Ready the apps and network

M365 Apps on Current or Monthly Enterprise channel, Teams/Outlook/OneDrive configured, endpoints allowed.

4

Assign licenses with groups

Group-based licensing in the admin center. One security group per population; membership drives the seat. Scales and audits cleanly.

5

Enable users and give them a reason

Welcome email, Copilot Academy, Prompt Gallery, and named champions. A license nobody was taught to use is wasted money.

HOW YOU MEASURE

The Copilot Dashboard in Viva Insights is your instrument panel.

No extra license, works with one seat, full picture at 50.

It shows readiness, adoption, and impact (assisted hours are modeled estimates).

Use it to justify the next wave with numbers, not anecdotes.

The one fact that drives your budget.

Paid seats zero-rate most employee-facing agent use.

Free-Chat users pay per interaction.

WHAT AN ACTION COSTS (PAY-AS-YOU-GO, ~\$0.01/CREDIT)

Classic answer	1 credit
Generative answer	2 credits
Agent action	5 credits
Grounding on your data	10 credits
Grounded generative answer	12 credits

YOUR COST CONTROLS

■ Copilot Credits

Renamed from “messages” in 2025, same rate. PAYG bills through Azure.

■ Prepaid = a hard ceiling

Agent flows stop at 100% of capacity; custom agents disable at 125%.

■ Pay-as-you-go = alerts

Keeps billing past your alerts, so set per-agent caps on purpose.

■ Cowork spend limits

Tenant, group, and per-user caps with usage alerts.

Agents: build, use, govern.

WHO CAN BUILD

Agent Builder

Business users, on a paid seat. Simple declarative agents.

Copilot Studio

IT and power makers. Full agents, governed environments.

Azure AI Foundry

Developers. Code-first, Azure RBAC and billing.

WHO CAN USE

Paid seat

Full Agent Store, Researcher and Analyst, most use free.

Free Chat

Approved pay-as-you-go agents, metered per use.

Shared agents

Consumers need no Studio license. Usage bills the tenant.

WHO GOVERNS

Agent Registry

One inventory. Block, allow, approve. AI Administrator role.

Power Platform DLP

Force sign-in, block risky connectors, route makers.

Agent 365

The control plane as agents scale: observe, govern, secure.

Healthcare and compliance.

COVERED UNDER YOUR BAA

Microsoft 365 Copilot and Copilot Chat are HIPAA in-scope, with the BAA auto-included.

Web-search queries are the exception: keep PHI out of web-grounded prompts.

THE PRODUCT BOUNDARY

Microsoft 365 Copilot is for knowledge and admin workers.

Dragon Copilot is the separate product for clinicians doing ambient documentation. Different license. Neither is a medical device.

COMPLIANCE GUARDRAILS

Week 1

Disable OpenAI-operated models if you require HITRUST, SOC 1, or FedRAMP High.

Weeks 1-4

Move oversharing control to Restricted Content Discovery as legacy search retires.

Ongoing

Confirm Anthropic / EU Data Boundary BAA coverage before PHI-adjacent Cowork or Researcher use.

 **MAKE IT STICK**

Roll it out without overwhelming the team.

Adoption is a habit you build in waves. Governance stands before Phase 1, not inside it.

 PHASE 1 - PROVE

Weeks 1-4

- Free Chat to a broad group
- Paid seats to a small high-ROI cohort
- Name 3-5 champions
- Teach one or two daily habits

 PHASE 2 - EXPAND

Weeks 5-10

- Graduate engaged Chat users to seats
- Ship one governed agent
- Share modeled assisted-hours
- Turn on Cowork for a few, with a cap

 PHASE 3 - SCALE

Weeks 11+

- Expand department by department
- Open building to governed makers
- Roll Cowork to roles that earn it
- Review usage and spend monthly

DO THIS NEXT

Where to start this quarter.

1

Stand up your AI governance committee

Name the executive sponsor. This is step zero, before any spend.

2

Turn on free Chat for everyone eligible

It is already included. Handle the web-search path for PHI-heavy groups first.

3

Buy a focused block of paid seats

Dozens, not thousands. Leaders, managers, analysts.

4

Do the oversharing work

SharePoint Advanced Management, and stand up the Agent Registry before you scale agents.

5

Handle the compliance guardrails

The OpenAI subprocessor decision first.

**Free Copilot for everyone. Paid
seats where the work is heavy.
Agents with a governed on-switch.**

We expand on what the data shows, not what people ask for.

The full interactive guide: heyitsgoad.github.io/copilot-playground